

Day 06 – Unit 6 : Public Finance

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1 Role of Government – Musgrave's 3 Functions

- **Allocation** → public goods dena (market failure) = Efficiency
- **Distribution** → inequality kam karna, progressive tax = Equity
- **Stabilization** → full employment + price stability = Keynesian contribution

Good	Feature	Example
Public	Non-rival + Non-excludable → free-rider problem	Defence, lighthouse, street light
Merit	Under-consumed, positive externality (Musgrave)	Education, health, vaccination
Demerit	Over-consumed, negative externality → sin tax	Tobacco, alcohol
Club	Non-rival but excludable (Buchanan)	Toll bridge, cable TV

Note: Pure public goods theory → **Samuelson (1954)**, vertical summation of demand curves.

2 Budget & Its Kinds

- **Article 112** = "Annual Financial Statement" (word Budget Constitution mein nahi hai)
- **266(1)** Consolidated Fund | **267** Contingency Fund (President, ₹30,000 cr) | **266(2)** Public Account
- Revenue receipt = na asset ghate, na liability badhe | Capital receipt = liability ↑ ya asset ↓
- Balanced budget → **Classical** Deficit budget → **Keynes**

Zero-Base Budgeting (ZBB)

- Har saal **zero se shuru** – pichla figure base nahi. Har scheme fresh justify kare.
- Concept: **Peter A. Pyhrr (1970)** → Jimmy Carter, Georgia 1973 → **India 1986-87** (pehla dept = DST)
- 4 Steps: Decision Units → Decision Packages → Ranking → Allocation

Gender Budgeting

- Alag budget **nahi** – ye ek tool / gender lens hai
- Pehla desh Australia (1984); India **2005-06**, Budget ka **Statement No. 13**
- Part A = 100% women-specific | Part B = kam se kam 30%

Performance Budgeting → India 1968 | Outcome Budgeting → 2005-06 | Sunset Budgeting = auto expiry

3 Deficits & Deficit Financing

FORMULA SHEET - RATTA MAAR LO

- Revenue Deficit = Revenue Exp. – Revenue Receipts
- **Fiscal Deficit** = Total Exp. – (Rev. Receipts + Non-debt Capital Receipts) = **Total Borrowing**
- **Primary Deficit** = Fiscal Deficit – Interest Payments
- Effective Rev. Deficit = RD – grants for capital assets → Rangarajan Cttee, 2011-12

- Deficit Financing (India) = RBI se borrowing + past cash balance withdrawal
- **1997** – ad-hoc T-Bills abolished, WMA shuru | **2006** – RBI primary market se ban (FRBM)
- FRBM 2003: FD 3% of GDP, RD zero | N.K. Singh (2017): Debt-GDP **60%** (Centre 40 + State 20) + escape clause
- Effects: Inflation, **Crowding out**, Debt trap | Positive: forced saving, effective demand ↑

4 Public Expenditure – Theories

Theory	Core Idea
Wagner's Law (1863)	State activity continuously & smoothly badhti hai; PE ki income elasticity > 1. Reasons: administrative, welfare, economic functions.
Wiseman-Peacock (1961, UK data)	Growth step-wise / jerks mein. 3 effects: Displacement (crisis ke baad exp. uncha hi reh jata hai), Inspection (naye social problems dikhte hai), Concentration (Centre ki activity tez badhti hai). Core = tolerance level of taxation .
Colin Clark (1945)	PE > 25% of GNP → inflation (incentive to work/save khatam).
Musgrave-Rostow	Early stage = infrastructure → Middle = complementary → Mature = welfare / social services.
Max. Social Advantage	Dalton → condition MSB = MSS . Pigou ne isko "Maximum Aggregate Welfare" kaha.

- Findlay Shirras' 4 canons: Benefit, Economy, Sanction, Surplus
- **Transfer payment** (pension, subsidy, interest) → National Income mein count NAHI hota
- Plan / Non-Plan classification **2017-18 se abolished**

5 Public Revenue & Taxation

- Tax = no quid pro quo | Fee = quid pro quo hota hai
- Direct tax = impact & incidence same, shift **nahi** ho sakta, progressive | Indirect = shiftable, regressive

Division of Tax Burden - 2 approaches

- **Benefit Principle** → Wicksell, Lindahl Equilibrium. Problem: redistribution possible nahi.
- **Ability to Pay** → J.S. Mill. 3 sacrifice theories: Equal Absolute, Equal Proportional, **Equal Marginal / Least Aggregate (Pigou-Edgeworth)** = sabse progressive.

Impact, Shifting & Incidence

- Impact = pehla burden (seller) → Shifting = process → Incidence = final burden

INCIDENCE RULE

Consumer's burden / Producer's burden = E_s / E_d

→ **Jo zyada inelastic, uspe zyada bojh.** $E_d = 0 \Rightarrow 100\%$ consumer par; $E_d = \infty \Rightarrow 100\%$ producer par.

Elasticity vs Buoyancy & Taxable Capacity

Tax Elasticity	Tax Buoyancy
Discretionary changes hata ke — built-in / automatic responsiveness	Discretionary changes shamil — overall responsiveness

- **Buoyancy = Elasticity + Discretionary effect** | Buoyancy > 1 = healthy sign
- Taxable Capacity: Absolute (ek community ki limit) vs Relative (comparison — Finance Commission use karti hai). Dalton: "dim and vague concept".

6 Public Debt

- **Article 292** = Centre borrowing | **Article 293** = State (Centre ki permission zaroori, foreign se direct nahi)

Type	Burden
Internal Debt	"We owe it to ourselves" → no net money burden , par real burden + inequality hoti hai (tax gareeb se, interest ameer bondholder ko).
External Debt	Resources ka vaastavik transfer bahar → definite money + real burden , debt trap ka khatra.

TRAP - FUTURE GENERATION PAR BURDEN?

- Buchanan (1958) → burden future generation par SHIFT HOTA HAI (bondholder voluntary, future taxpayer forced)
- Lerner → internal debt ka burden shift NAHI hota, sirf redistribution
- Modigliani → crowding out se future capital stock chhoti = burden
- Ricardian Equivalence (Barro-Ricardo) → tax vs debt financing equivalent hai

- Deadweight debt = war/famine | Self-liquidating/Reproductive = railway, power
- Redemption: Sinking Fund (best), Conversion (Dalton), Refunding, Terminal Annuity, Capital Levy (Dalton, Pigou), Surplus Budget
- Repudiation = default, ye redemption method nahi hai
- Debt sustainable jab $g > r$ (growth rate > interest rate) – Domar condition

7 Fiscal Federalism

- Term → Musgrave (1959) | Main theorist → Wallace E. Oates (1972)
- Oates' Decentralization Theorem – agar cost-saving aur spillover na ho, to local provision hamesha utna hi ya zyada efficient (local preferences ke hisaab se output vary kar sakta hai).
- Tiebout (1956) – "voting with the feet"; log apni pasand ke tax-service bundle wale jurisdiction mein migrate karte hai.
- Fiscal Equivalence = Mancur Olson | Leviathan Hypothesis = Brennan-Buchanan | Subsidiarity → 73rd/74th Amendment
- Level division: Stabilization & Distribution → Centre, Allocation → State/Local

Vertical Imbalance	Horizontal Imbalance
Centre vs State – Centre ke paas revenue zyada, State ke paas expenditure zyada. Solution: tax devolution + grants	State vs State – rich (Maharashtra) vs poor (Bihar, UP). Solution: equalization grants, income distance

Constitutional Articles

- 268 levied by Centre, collected & appropriated by States | 269 levied-collected by Centre, assigned to States
- 269A IGST | 270 divisible pool | 275 grants-in-aid | 280 Finance Commission | 282 discretionary grants
- Article 271 – Cess & Surcharge divisible pool mein NAHI, poor Centre ke paas → States ka current issue
- Residuary power of taxation → Centre (Art. 248 + Union List Entry 97)

GST & Federalism

- 101st Amendment 2016, lagu 1 July 2017; Art. 246A = dual GST concurrent power
- Art. 279A – GST Council: Chairman = Union FM. Voting → Centre 1/3, States 2/3, decision 3/4 majority, quorum 50% ⇒ Centre ke paas effective veto

8 Finance Commission (Art. 280)

- Quasi-judicial, President dwara, har 5 saal, 1 Chairman + 4 members, recommendations advisory (binding nahi)
- Nickname: "Balancing Wheel of Fiscal Federalism"
- 1st – K.C. Neogy (1951) | 12th Rangarajan | 13th Kelkar | 14th Y.V. Reddy (42%) | 15th N.K. Singh (41%) | 16th Arvind Panagariya (2026-27 to 2031-32)
- Local bodies ka kaam FC mein 73rd/74th Amendment ke baad juda

15TH FC - HORIZONTAL FORMULA (WEIGHTS)

Income Distance 45% • Population (2011) 15% • Area 15% • Demographic Performance 12.5% • Forest & Ecology 10% • Tax & Fiscal Effort 2.5%

Vertical devolution = 41% (14th FC mein 42% tha; J&K-Ladakh UT banne se 1% kam)

9 Fiscal Policy

- Keynes ki den (Great Depression 1929-33; monetary policy liquidity trap mein fail thi)

- 4 instruments: Taxation, Public Expenditure, Public Debt, Budget policy
- Depression → **expansionary / deficit** | Inflation → **contractionary / surplus**
- Automatic (built-in) stabilizer best example = **progressive income tax**, unemployment benefit – koi lag nahi
- 3 lags: Recognition → **Decision (fiscal mein sabse lamba)** → Execution
- Fiscal drag / bracket creep = inflation se log higher tax bracket mein chale jate hai

Concept	Idea
Compensatory Fiscal Policy (Alvin Hansen)	Private sector ki demand-deficiency ko government "compensate" kare – effective demand stable rakho.
Cyclically Balanced Budget	Har saal nahi, balki poore business cycle mein balance ho.
Functional Finance (Abba P. Lerner, 1943)	Budget ko uske <u>balance</u> se nahi, uske function/result se judge karo. Rule 1: spending & tax aise set karo ki demand = full employment output. Rule 2: borrowing/lending se interest rate optimum rakho. Tax ka aim revenue nahi, private spending regulate karna hai.

Sound Finance (Classical) vs Functional Finance (Lerner) – MMT ki jad Lerner ke functional finance mein hai. Book: The Economics of Control (1944).

Role in a Developing Economy like India

- Aim: capital formation, employment, inequality ↓, price stability, regional balance, BOP – na ki sirf stabilization
- IS-LM link: Fiscal policy **most effective** jab LM flat (liquidity trap) ya IS steep; **least effective** jab LM vertical ⇒ full crowding out
- Limitations: narrow tax base, bada informal sector, tax evasion & black money, agriculture income tax-free, supply bottlenecks, committed expenditure (interest+salary+pension), time lags, populism

🚩 EXAM TRAPS - YE CONFUSE MAT KARNA

- Wagner = smooth growth vs Wiseman-Peacock = step-wise growth
- Lerner = debt burden shift NAHI hota vs Buchanan = shift HOTA hai
- Hansen = Compensatory Fiscal Policy vs Lerner = Functional Finance
- Dalton = Maximum Social Advantage vs Pigou = Maximum Aggregate Welfare (same concept, alag naam)
- Elasticity = discretionary nahi vs Buoyancy = discretionary shamil